KPRA PROFESSONAL REALTORS
The Voice of Real Estate Professionals!

NEWS LETTER

Monthly Issue | Free of Charge KPRANL/01/2020

INFORM: INSPIRE: EMPOWER | CREATING A PLATFORM FOR SUCCESS

Inside This Issue

Nairobi's Prime Residential price fall slows

Ongoing **Real Estate Education Details.**

Upcoming Business Power Networking Event

Upcoming 2nd Annual Kenya Real Estate Awards on May 8th.

REAL ESTATE EDUCATION

Every Saturday Starting 29th Feb 2020 | 9:00am - 1:00 pm | KCA University - Board Room

LIMITED SLOTS : REGISTER NOW

COURSE OUTLINE & HIGHLIGHTS:
- Real Estate Principles & Practice Overview
- Finance & Mortgage Origination
- Appraisal & Marketing Analysis
- Real Estate Law & Ethics Overview
- Entrepreneurship & Investments

Contact Our Training Coordinator: +254 717 507 204 / 020 786 6128 / joyce.mshilla@kprakenya.co.ke

Kenya Professional Realtors Association
The Voice of Real Estate Professionals

Sign Up for Membership Now!

Membership Options:

- Associate Membership
- Professional Membership
- Broker Membership
- Corporate Membership
- Affiliate Membership

Sign up now and have access to many benefits, depending on the selected option.

Contact Membership Coordinator
0717507204 / joyce.mshilla@kprakenya.co.ke

www.kprakenya.co.ke

By Invitation Only

2nd Annual Kenya Real Estate Awards - 2019

Windsor Golf & Country Club (Oak Room)

May 8

6:00 pm - 9:00pm

V.I.P Table: Ksh 75,000/= | Small Business SME: Ksh 32,000/= | Individual Ticket: Ksh 4,000/= | KPRA Member: Ksh 3,500/=
Corporate Table: Ksh 50,000/= | Merchandise Table: Ksh 25,000/= (Max 4 - 5 Vendors) | At the door: Ksh 4,500/=

Dress Code: Black Tie

Event Sponsors: KPRA, Pinnacle of Excellence (K)

RSVP: Contact 0717507204, 0207866128 / *awards@kprakenya.co.ke*

BUSINESS POWER NETWORKING EVENT

March 26th 2020

Contact: 0717507204 / joyce.mshilla@kprakenya.co.ke

STRIP AD SPACE AVAILABLE!
Contact Us for more information:
info@kprakenya.co.ke/
+254 717 507 204 / 020 786 6128

Prevailing macro- & micro-economic onditions coupled with an oversupply in the segment have resulted in a sustained price correction.

Nairobi's prime residential price fall slows

Buyers showing control in the market

Above - Nova Apartments Nairobi

House prices in Nairobi's high-end market fell by 5.4% in the year to September, according to the Knight Frank Prime Global Cities Index (PGCI) for Q3 2019.

Values of prime residential real estate continued to drop as the market softens, albeit at a slower pace compared to the 6.7% in the year to June and 6.5% in the year to March, as buyers sought opportunities in a market segment still influenced by oversupply and distressed properties.

The values have been declining at varied rates year-on-year successively since Q3 2016. However, values are still more than 30% higher compared to Q4 2010, validating prime residential properties as a good investment for capital gains.

Prevailing macro- & micro-economic conditions coupled with an oversupply in the segment have resulted in a sustained price correction. Subsequently, buyers have control of the market.

Anthony Havelock, Head of Agency at Knight Frank Kenya, said: ''We haven't reached the bottom of the cycle yet and we expect to see further reductions in the near-term until the macroeconomic and local situations improve. One of the major issues right now is illiquidity in the market.''

The rising number of distressed properties in Nairobi has also affected prime residential values significantly, with lenders intensifying efforts to recover non-performing loans through sale of collateral.

''Deals are happening but are few and far between, and at discounted rates. It will take time for the economy to rebound considering it's also not immune to external shocks,'' he said. However. the removal of the interest rate cap should see a return of liquidity to the market, which will in turn lead to a recovery in the medium term.

The price decline placed Nairobi 43rd amongst 45 cities covered by the index, demonstrating the ongoing pricing correction. The PGCI is a valuation-based index tracking the movement in prime residential prices in local currency across 45 cities worldwide using data from the Knight Frank global research network.

According to the report, the change in prime prices for all 45 cities averaged 1.1% in the year to Q3 2019, dropping from 3.4% in a comparable period last year and 4.2% in 2017, as the slowdown in global luxury residential markets gathered momentum.
''Despite a longer-than-expected period of loose monetary policy and steady wealth creation, luxury sales volumes are at their weakest for several years in many first tier global cities,'' the report notes.

Slower global economic growth (the IMF lowered its 2019 forecast from 3.3% to 3% in October), along with escalating headwinds – US/China trade relations, Hong Kong's political tensions, a US presidential election in 2020 and the Brexit conundrum – are influencing global buyer sentiment.

-- Knight Frank

SPONSOR THE NEXT BUSINESS POWER NETWORKING AT YOUR PREFERED LOCATION!

STRIP AD SPACE AVAILABLE!
Contact Us for more information:
info@kprakenya.co.ke/
+254 717 507 204 / 020 786 6128